



Inordinate Benefits

The latest report by the CAG has found faults for passing on undue benefit of Rs 165 crore to Satyam Computer Services. According to the state's IT policy, any company is entitled to a 0.3 acres of land for every 100 jobs that it creates at a concessional price. Satyam was entitled to 7.5 acres at a concessional rate of Rs 10 lakh an acre whereas the Government allotted 50 acres. As against the payable sum of Rs 170 crore, the company paid a meager amount of Rs 4.25 crore towards the cost of land. But with Satyam plunging into a crisis, the Government resumed the

land. The report further states that due to "deficiencies in award of work relating to development of Machilipatnam Port" to the Maytas Infra-led consortium, the state Government had been "saddled with the payment of Rs 335 crore as against nil investment initially contemplated". The consortium demanded a payment of Rs 335 crore for a change in the location of the proposed port. The state Government not only agreed to pay the huge sum in 2008 but also handed over 412.57 acres of land though the firm did not even submit a bid.

stituencies from 2010-11, which was withdrawn earlier by YSR. In the backdrop of suicides by weavers in the past 12 months and their continuing distress, he is waiving the overdue loans of all weavers so as to relieve them of indebtedness and to help them come out of the clutches of money lenders and private finance companies. It covers all loans, as on March 31, taken under the Artisan Credit Cards Scheme, Prime Minister Rozgar Yojana and Rajiv Yuva Shakti Yojana. Rosaiah has allocated 41 per cent of the total plan budget of Rs 40,313 crore for the Jalayagnam irrigation projects. The state is lobbying for treating three of these as national projects—another way of ensuring that the Central Government also pitches in with huge funds apart from providing increased allocations to the state.

"We are ahead of all states in setting up SEZs and 73 of the 103 approved are already functioning," says the chief minister. He says the state will soon unveil a new industrial policy with several attractive incentives, particularly for investors in infrastructure development, food processing and information technology.

Saddled with the problems imposed by financial distress, Rosaiah is further hamstrung because of the delay imposed in shuffling the ministry. He is eager to raise it to 45 by inducting more legislators whom he can trust and even reallocate portfolios. But with the by elections to 12 assembly constituencies in Telangana looming large and likely to be completed by August, the Congress has put his plans on hold to watch the performance of the party leaders in the elections before taking a decision on the cabinet changes. The chief minister is bracing for the electoral challenge ahead. "Responsible and responsive governance brings with it serious concerns and sometimes deeper worries and my task is to tackle and overcome it," says Rosaiah, confident about gliding over the hurdles except perhaps those imposed by geriatric compulsions. ■

necessary diagnostic tests and follow up treatment. After all, they present the bills with the patient's attestation to the state. Yet, the Rajiv Arogyasri has the potential to emerge as a game changer in health care after corrections in the flawed health insurance market considering the country has health insurance cover for just 3 per cent of the population.

Any health insurance scheme for the poor will involve huge spending and in the absence of a subsidised universal health cover, YSR decided the state will make a beginning by stepping in with Rajiv Arogyasri at the cost of implementing other measures, including the National Rural Health Mission (NRHM). But the latest CAG

report has rapped the state for failing to utilise 29 per cent of the Rs 1,603 crore released under the NRHM during 2005-09. It points out that adequate attention was not paid to create and strengthen the infrastructure facilities in health care, despite availability of funds. The report pointed to a significant shortfall in community and primary health care centres in tribal areas.

All this does not preclude Rosaiah from providing grants and announcing fresh write offs. He has also granted a Rs 385-crore largesse to MLAs and MLCs at Rs 1 crore a year for developing their con-